

TECHNICAL CAPACITY	
Overview	
T1 Is the system free from routine failures such as line breaks, electrical failures, and mechanical failures?	
T2 Do system staff know the location of system components and have accurate maps?	
T2a Is there a program or procedure in place for updating as-built drawings?	
T3 Is a certified operator (licensed at the proper level) on duty or on call at all times?	
T3a What are the required operator certification levels (treatment, distribution, collection)?	
Enter Certification Levels:	
Operation & Maintenance	
T4 Are written operation & maintenance procedures available (including retention of related records)?	
T4a If so, is this used by the staff?	
T4b Do system personnel follow the operation and maintenance plan?	
T4c Does the system have long-term legal access to all physical components of the system?	
T4d Does the system have a schedule for routinely testing and inspecting storage (holding) tanks, water wells, and/or collection line smoke testing or CCTV camera testing?	
Comments:	
T4e Does the system operator regularly report to management on maintenance and repair activities performed, maintenance problems, and status of any construction projects?	
T5 Is the system in compliance? (No outstanding "Notice of Violation," or "Administrative/Consent Order," or otherwise in NON-compliance?)	
T6 Have all significant deficiencies recorded in the last sanitary survey (water systems) or the last POTW inspection (wastewater systems) been corrected?	
T7 There are no facility upgrades currently needed (distribution or treatment plant) that are estimated to cost more than 10% of the system's annual budget. True statement?	
T8 There are no current O&M issues with systems (e.g. water source, treatment, storage, pumps, or distribution systems). True statement? Please describe any issues in notes section.	
Drinking Water	
T9 Is the water source quality and quantity adequate ?	
T10 Does the system have a "Backflow Prevention and "Cross-Connection Control" Policy?	
T10a If so, is this enforced by the staff?	
Wastewater	
T11 Is the wastewater collection system functioning adequately?	
T11a Are the pump stations in need of any upgrades?	
T11b Is the system monitoring inflow & infiltration (I&I)?	
T11c If so, has there been an increase in I&I from last year?	
T11d Does the system document and report unregulated bypasses (overflows)?	
T12 Is the system currently in compliance with all parameters of its NPDES permit?	
T12a Has the system ever experienced capacity shortfalls during storms or other peak load periods?	
T12b Is the wastewater system in compliance with the permitted method for solids disposal?	
What is the method?	
T12c Has the system ever exceeded any permit or discharge limitations?	
T12d If the NPDES permit expires within 6 months, is a renewal currently being worked on?	
Technical Capacity Score	
0.00%	

MANAGERIAL CAPACITY	
Authority and Responsibility	
M1 Does the system have all relevant organizational documents on file?	
M1a Do the organizational documents provide clear authority for the organization to levy fees and enforce payment?	
M1b Are there other applicable organizational documents for the system and are they current? (List all other organizational documents.)	
M1c Is the distribution system in compliance with the filed "Certificate of Necessity"?	
M1d Is the system a non-profit?	
▶ Are the "Articles of Incorporation" filed with the Secretary of State?	
▶ Are the "Corporate Bylaws" current?	
▶ Is the system in good standing (current) with the Secretary of State?	
M2 Does the board or council hold regularly scheduled, publicly announced meetings that comply with the bylaws and are held at least quarterly?	
List meeting schedule details: e.g. 1st Tuesday of each month:	
M2a For each board or council meeting, is there:	
▶ A written agenda?	
▶ Designated agenda time for comments from customers and other stakeholders?	
▶ An accurate written record of matters discussed and actions taken?	
Personnel	
M3 Are the roles and responsibilities of board members, employees and volunteers clearly defined?	
Does the system have the following:	
M3a Organizational chart?	
M3b Job descriptions?	
M3c Adequate training for operators and other employees?	
M3d Written personnel policies?	
Comments	
Governing, Managing, and Operating	
M4 Are policy makers and managers (e.g. board or council members, general manager) provided with orientation and systematic training in their duties and responsibilities?	
M5 Does the system maintain adequate insurance coverage (e.g. general liability, extended fire and property damage, workmen's compensation, errors and omissions)?	
M6 Does management have an adequate understanding and support of system needs; including Board Training, proactive communication with contract operators, customer education, etc.?	

Customers	
M7 Has the system adopted formal policies on its rules and regulations (listed below): ▶ customer deposits and payments; ▶ collections/shut-off policy; ▶ utility rates; ▶ connection charges; ▶ customer complaints; ▶ prohibited acts; ▶ prospective customers with excessive requirements for service; ▶ extensions for connecting new customers; ▶ commercial/industrial/agricultural connections; and ▶ excess strength, fats, oils, and grease?	-
M7a Does the system make available to customers its adopted rules and regulations?	
M7b Do current policies adequately address these issues listed above?	
Emergency	
M8 Has a "Vulnerability Assessment" or "Risk and Resiliency Assessment" been completed and if so, is it updated as required or at least every 3 years and signed off on by the Board?	
M9 Has an "Emergency Response Plan" been completed and if so, is it updated as required or at least every 3 years and signed off on by the Board?	
Water	
M10 Does the system have the ability to produce and/or distribute water during extended power outages?	
M10a Is there an interconnection with a neighboring system and a standing MOU or other agreement in place?	
M10b Is there a generator(s) and an adequate fuel supply in place at each well, water treatment plant, and/or pumping station?	
M10c Are there right angle gear drives installed on water well(s) and available tractors during emergencies?	
M11 There is not a significant difference between potable water produced and water sold. True statement?	
Wastewater	
M12 Does the system have the ability to collect and treat wastewater during extended power outages?	
M12a Is there an MOU or other agreement in place with a neighboring treatment plant and does the system have access to pumper trucks?	
M12b Is there a generator(s) and an adequate fuel supply in place at each pumping station(s) and treatment plant.	
Managerial Capacity Score	
0.00%	

FINANCIAL CAPACITY**Financial Management****F1** Does the water and/or wastewater system have processes, policies, or written procedures for the following:

- ▶ restricting the use and expenditure of funds to approved purposes;
- ▶ restricting the transfer of reserves to other accounts;
- ▶ the payment of all taxes
- ▶ the purchase of goods or services; and
- ▶ internal fiscal controls (e.g., more than one signature on checks, regular reconciliation of bank accounts, division of tasks and responsibilities between two or more people in the finance and accounting function)?

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F2 Does the system's board/council or other owner receive written expense and revenue reports from system bookkeeping personnel at each routinely scheduled meeting?**F3** Do the financial reports for the review period compare/show the appropriate records (listed below):

- ▶ compare total revenues against the total expenses;
- ▶ show all transfers of funds between general operating accounts and other accounts of the system;
- ▶ show the net financial gain (or loss); and
- ▶ show the actual year-to-date revenues and expenditures, compared to projected revenues and expenses shown in the approved budget?

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F4 Does the system's board/council or other owner review bank deposit statements?

F4a Are system financial records and transactions audited regularly or as-required by state law by an independent auditor (e.g., CPA or peer group)?

F4b Does the system's board/council or other owner review audit reports?

F4c Does the system's board/council or other owner implement major recommendations made by the auditor?

Annual Budget Process**F5** Does the board develop and approve an annual budget each year? (Verify copy of current budget.)

F5a If the system owner operates other utilities or services, does the annual budget separate revenue and expense accounts for each utility/service?

F5b Does the annual budget include sufficient sub-accounts for operation and maintenance expenses (e.g., salaries, chemicals, repairs, supplies, power, telephone) to enable tracking of key expense items?

F5c Does the annual budget include necessary reserve funds, or is a separate schedule available to explain allocation of beginning balance funds for these purposes?

Examples of reserve funds:

- ▶ operating reserve
- ▶ debt service reserve
- ▶ equipment replacement reserve
- ▶ emergency reserve
- ▶ capital improvements reserve

F6 Does the system have a multi-year budget projection that addresses future expenses and compensates for inflation?

Rate Setting	
F7 Does the system's current rate structure produce enough income to cover current expenses (operations and maintenance) and all necessary reserves?	
F7a Does the system have a policy for the board to review the performance of the rates each year?	
F7b Has the system raised rates within the past 5 years?	
Capital Improvements Planning	
F8 Does the system have a capital improvements plan?	
F9 Has the system conducted an asset inventory in which assets were identified, quantified (number of units, linear feet, etc.), and described as to age, condition and replacement cost?	
F10 Does the system enforce an effective cut-off and collection policy for delinquent payments?	
F11 Could the system benefit from regional collaboration (anything from informal partnership to full consolidation)?	
F11a Has a regional solution been considered in the past?	
F12 If the system has a loan, are terms of the loan obligations known and being met?	
F12a Are loan reserve amounts being maintained?	
F12b Are surcharge fees maintained in a separate income account from water/sewer rates?	
F12c If the system has more than \$750k in federal financial assistance, or holds more than \$1 million debt, is the system prepared for an audit?	
F12d Does the system maintain an active SAM's account and DUNS number?	
Financial Capacity Score	
0.00%	